



ARU diligence memorandum — findings, disagreement and disposition

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Record origin: SYNTHETIC_COMPANY_ANALYSIS | **Evidence state:** SYNTHETIC_RECONSTRUCTED

Decision state: LOCKED_DERIVED_IMPLEMENTATION supporting the authorized acquisition

The target is a capital-constrained, succession-thin logistics operator with a viable independent business. The principal question is whether its cash generation and local competence can survive an overdue capital cycle without acquisition-driven cost extraction. This memorandum retains management's representations separately from buyer conclusions.

Finding and evidence matrix

Finding	Evidence available by December 15	Management response and buyer disposition
Railroad's \$1.5M EBITDA is below \$2.05M sustaining capital	Traffic/expense, maintenance and sustaining schedules	Do not mistake consolidated margin for railroad profitability; value the full estate and fund identified assets
Nonrail margins require operating support	Contract/rate records, lease terms, labor and equipment allocations	Warehouse revenue includes contracted service/access charges; test shared-service allocation and occupancy rather than accept an EBITDA plug
Customer concentration and one material renewal	Customer/contract register with approximately 11% largest and 40% top five	Keep renewal sensitivity visible; no assumed post-cutoff renewal outcome
Track/drainage and locomotive backlog	Inspection findings and asset-level catch-up allocations	Authorize phased \$11M equity-funded program; no undisclosed major bridge crisis or shutdown order is introduced
Known environmental obligation	Site records and reserve memorandum	Carry the derived \$1.75M accrual; remediation/stormwater capex is not automatically an expense against that liability
Larger open claim	Claim chronology and counsel/insurer estimate	Carry \$0.6M closing accrual with \$0.7M possible adverse development; seller protects excess over accrual, subject to agreed recovery mechanics
Seller concentration of	Separate successor interviews and	Appoint Nora on day one; Fred's \$225k

Finding	Evidence available by December 15	Management response and buyer disposition
knowledge	customer-handling walkthrough	consultancy supplies knowledge only
Labor and qualification	Property agreements and represented-craft register	SMART-TD train/engine and BMWED MOW continue; no assumption of national Class I terms
Tax eligibility	Four-person register, one economic share class, represented S history and BS&T QSub history	Obtain all seller signatures and separately document the tax assumptions; no government acceptance is invented
Red Wash interface	Independent 2025 books and preliminary customer requirements	Zero 2025 mine revenue; no automatic uranium custody; separate capital/rates decision

The December 31 baseline and final generated 2025 statements are later artifacts. This December 15 memo records year-end expectations and available underlying contracts/condition evidence; it does not pretend the year had ended. The final baseline is available January 5 in the [chronology](#). Exact model schedules are in [finance source](#).

Preserved investment disagreement

The buyer's financial reviewer argued that a 6.33× normalized EBITDA headline understated the \$11M near-term capital burden and railroad renewal needs. The operating review agreed that the burden was real but argued it was finite and asset-specific, while the nonrail business retained customers and useful infrastructure. Neither side counted Red Wash as the answer. The board paper carries both views and the customer-loss/capital-overrun sensitivities.

Tessa objected to calling every owner-era cost an add-back. Only identified nonrecurring items survive the reported-to-normalized bridge. Nora objected to a broad centralization plan before the buyer understood local dispatch, working capital and customer interfaces. The adopted integration model protects those systems while improving evidence and succession.

Gate disposition

Proceed to signing only with the \$4.5M working-capital peg and exclusions explicitly defined, debt/lease treatment reconciled, final disclosure schedules, employment/retention instruments, claim/environmental protections, financing commitments and operating authority clear. Any newly discovered shutdown condition or material unpriced structural defect returns the acquisition to the board; none is silently authored into the base case.

The existing CBAs and relevant regulatory responsibilities are obligations, not points awarded in an evaluation. The participant may challenge the valuation, the durability of nonrail margins or the adequacy of reserves. This record preserves the buyer's contemporary rationale without prescribing a hidden correct conclusion.